Admiral Group PLC (LON:ADML)

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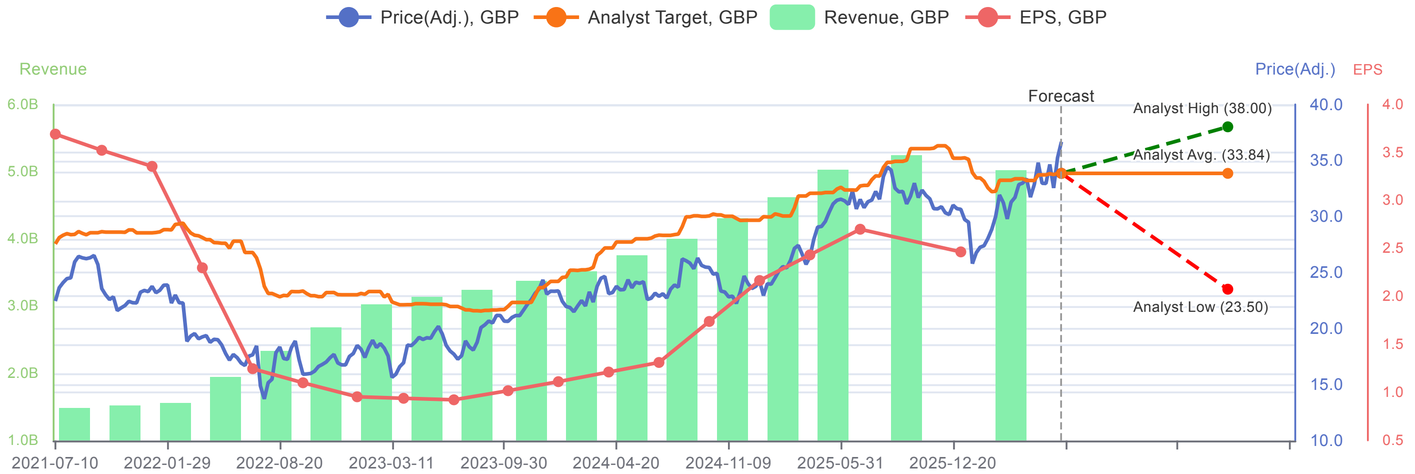
Key Indicators:

Date: Jul 6, 2026

Stock Price	£36.7

52-Week Range	£25.5 - £36.8	EPS Revisions (90d)	↑ - ↓ -	Revenue	£5.0B
Market Cap	£11.2B	PEG Ratio	1.29	Revenue Forecast	£6.2B
P/E Ratio	15.0	FCF Yield	3.24	1-Year Change	16.3%
P/E (Fwd.)	15.3	EV / EBITDA	8.59	Div Yield	5.59%
EPS Actual	2.42	Book / Share	4.76	Div. Growth Streak	2 years
EPS Estimate	2.40	Beta (5Y)	0.19	Next Earnings	2026-08-06

5-Year Chart



Executive Summary

WarrenAI

Admiral Group PLC (LON:ADML) is a leading UK-based insurance and financial services group, primarily operating in motor, home, travel, and pet insurance across the UK and Europe, as well as personal lending through Admiral Money.

Admiral delivered record profits in 2025 , with group profit before tax reaching £957.9 million — a 16% increase from 2024 — supported by a 7% rise in customer numbers to 11.8 million. Admiral Money doubled its profit in 2025, with gross loan balances growing 24% to £1.46 billion, and the company targets doubling non-UK Motor profits by 2028. The acquisition of Flock, a digital commercial fleet insurer, was completed in June 2026 for £80 million , expanding Admiral's footprint in a technology-driven market segment.

On the financial health front, the company holds a **profitability rating of 8/10** , a P/E ratio of 15.0x, and a dividend yield of 5.59%, backed by 22 consecutive years of dividend payments . Return on equity stood at a strong 53% in 2025, and the solvency ratio was 193% post-dividend. Technical indicators rate the stock a **Strong Buy** , with the stock trading near its 52-week high.

However, *near-term headwinds are notable* . RBC Capital Markets downgraded Admiral to sector perform in June 2026, cutting its price target to 3,450p and forecasting an 8% decline in group pretax profit for 2026 , citing weaker policy count growth, a less profitable business mix earning through in H1 2026, and UK motor premiums remaining below their 2024 peak. RBC also worsened its H1 2026 combined ratio forecast to 85.6% and cut non-UK Motor pretax profit by 14% for 2026. Analyst EPS forecasts reflect a modest -2% YoY decline for FY26, recovering to +9% in FY27 and +12% in FY28, implying a 2025–2028 CAGR of just 2.6% — below management's ambition to exceed the historical 7.6% CAGR. Short-term obligations exceeding liquid assets and elevated Price/Book multiples are additional caution flags for investors.

Fair Value

Upside	-3.49%
Fair Value	£35.6

Financial Health

6.0/10
Growth Rating

7.9/10
Profitability Rating

5.1/10
Cash Flow Rating

Financial health is determined by ranking the company on over 100 indicators compared to other companies in its sector that operate in similar economic markets.

Valuation

Reporting Date	2023	2024	2025	2026	2027
Period Ending	**31/12**	**31/12**	**31/12**	**31/12**	**31/12**
Capitalization	£8.0B	£7.9B	£9.6B	£11.2B	£11.2B
P/E Ratio	25.9	15.1	15.0	15.3	14.0
Div. Yield	4.42	5.13	7.64	5.59	-
Capitalization / Revenue	2.37	1.85	2.23	1.81	1.70
EV / Revenue	1.74	1.26	1.81	1.47	1.38
EV / EBITDA	12.9	7.29	8.59	12.5	8.63
EV / FCF	1.95	6.57	11.7	-	-
FCF Yield	2.20	4.23	3.24	-	-
Price / Book	8.06	5.80	7.75	7.75	-

- Forecast

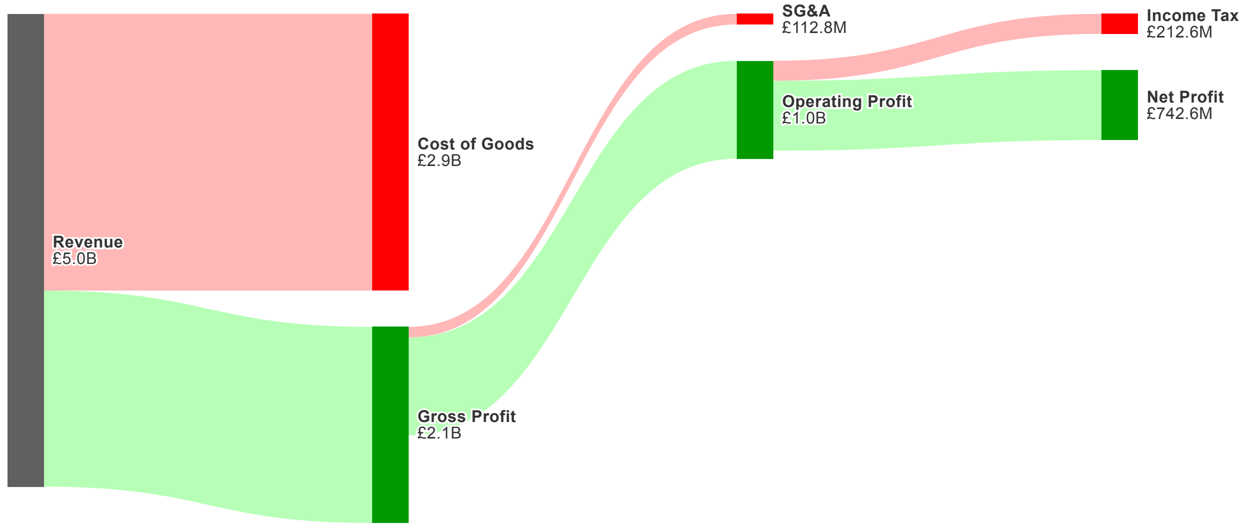
Pro Tips

Tips that distill complex financial data into concise, actionable investment insights.

- Has maintained dividend payments for 22 consecutive years
- Strong return over the last three months
- Analysts predict the company will be profitable this year
- Profitable over the last twelve months
- High return over the last decade

- Trading at a high P/E ratio relative to near-term earnings growth
- Trading at a high Price / Book multiple
- Short term obligations exceed liquid assets

LTM Financials:



* Income Statement is based on LTM data from 2024-12-31 to 2025-12-31

Income Statement

Date	2022	2023	2024	2025	LTM
Revenue	3,023	3,511	4,615	5,020	5,020
Operating Income	385.8	489.7	890.1	1,040	1,040
Net Income to Stockholders	286.5	338.0	663.3	742.6	742.6
Shares Outstanding	294.9	297.7	300.6	303.0	305.1
Diluted EPS	0.95	1.11	2.17	2.42	2.42
EBITDA	395.9	500.9	902.9	1,055	1,055

Balance Sheet

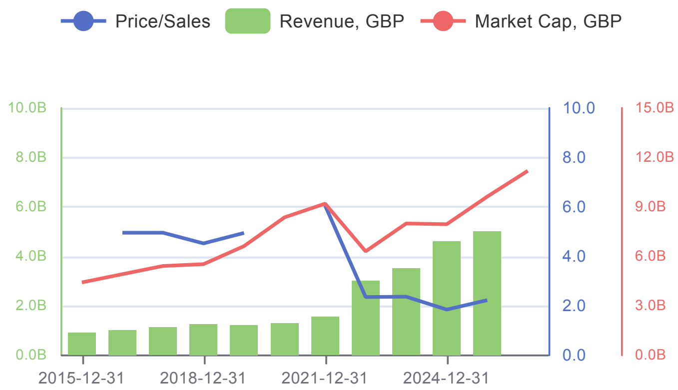
Date	2022	2023	2024	2025	LTM
Total Current Assets	2,572	2,894	2,974	3,164	3,164
Total Assets	6,208	7,096	7,944	9,022	9,022
Total Current Liabilities	143.1	4,737	5,243	5,812	5,812
Total Liabilities	5,321	6,103	6,573	7,579	7,579
Total Equity	887.0	992.8	1,370	1,443	1,443
Total Debt	1,027	1,211	1,401	1,893	1,893

Cash Flow Statement

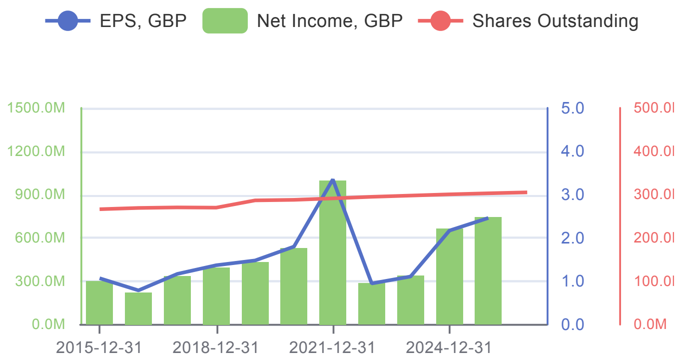
Date	2022	2023	2024	2025	LTM
Cash from Operations	476.9	279.0	369.0	436.5	436.5
Cash from Investing	-101.0	-75.9	-144.2	-95.2	-95.2
Cash from Financing	-425.0	-171.8	-257.9	-333.2	-333.2
Levered Free Cash Flow	0.0	0.0	0.0	0.0	0.0

*In GBP millions, except number of shares, which are reflected in thousands, and per share amounts.

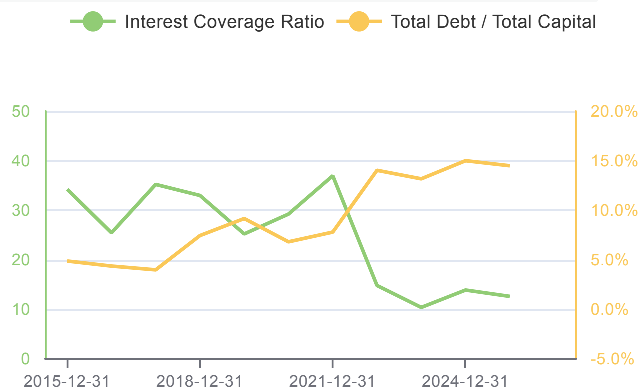
Revenue, Market Cap, Price/sales



Net Income, EPS, Shares



Leverage and Debt



Q4 Financials

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Income Statement

Date	Q4 2024	Q1 2025	Q2 2025	Q3 2025	Q4 2025
Revenue	1,171	1,354	1,354	-	-
Operating Income	276.1	279.4	279.4	-	-
Net Income to Stockholders	212.9	200.5	200.5	-	-
Shares Outstanding	300.6	303.0	303.0	303.0	303.0
Diluted EPS	0.70	0.65	0.65	-	-
EBITDA	277.1	285.4	285.4	-	-

Balance Sheet

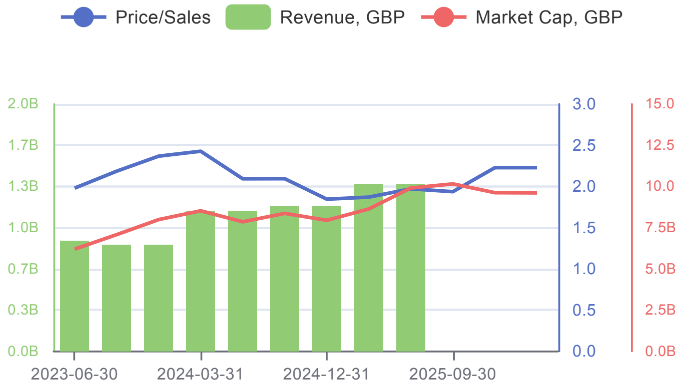
Date	Q4 2024	Q1 2025	Q2 2025	Q3 2025	Q4 2025
Total Current Assets	2,974	3,377	3,377	3,164	3,164
Total Assets	7,944	8,632	8,632	9,022	9,022
Total Current Liabilities	5,243	5,807	5,807	5,812	5,812
Total Liabilities	6,573	7,197	7,197	7,579	7,579
Total Equity	1,370	1,435	1,435	1,443	1,443
Total Debt	1,401	1,585	1,585	1,893	1,893

Cash Flow Statement

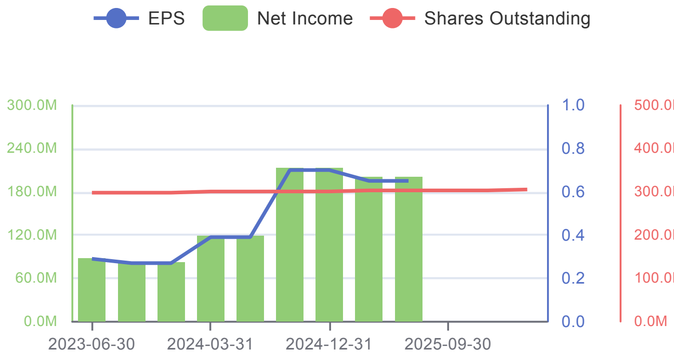
Date	Q4 2024	Q1 2025	Q2 2025	Q3 2025	Q4 2025
Cash from Operations	54.9	120.0	120.0	-	-
Cash from Investing	-13.1	-16.3	-16.3	-	-
Cash from Financing	-68.7	-108.0	-108.0	-	-
Levered Free Cash Flow	0.0	0.0	0.0	-	-

*In GBP millions, except number of shares, which are reflected in thousands, and per share amounts.

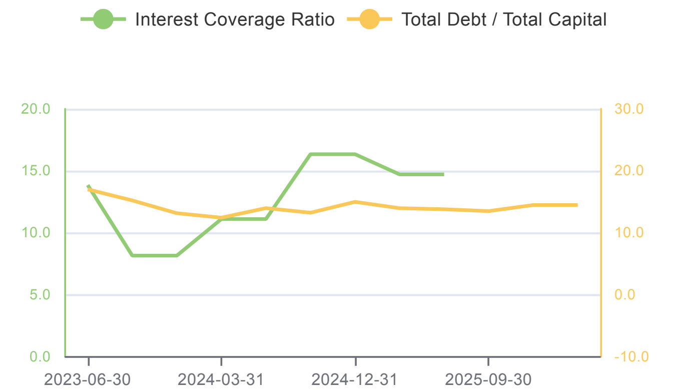
Revenue, Market Cap, Price/sales



Net Income, EPS, Shares



Leverage and Debt

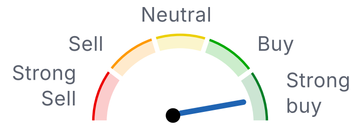


Momentum & Technical Indicators

Price Momentum / Peers

Metric	ADM	Percentile	Score	OVQD	LGEN
Price % of 52 Week High	99.6%	91.2%	4.6	100.0%	96.6%
1 Week Price Total Return	4.0%	89.0%	4.4	5.8%	1.8%
2 Week Price Total Return	12.7%	97.5%	4.9	11.7%	3.1%
3 Week Price Total Return	5.8%	90.9%	4.5	10.1%	4.1%
1 Month Price Total Return	11.3%	95.3%	4.8	11.0%	8.5%
3 Month Price Total Return	17.2%	89.6%	4.5	10.3%	21.6%
6 Month Price Total Return	23.4%	86.3%	4.3	15.3%	16.8%
1 Year Price Total Return	16.3%	57.6%	2.9	28.9%	27.3%
2 Year Price Total Return	60.3%	77.7%	3.9	46.7%	49.5%
3 Year Price Total Return	107.9%	86.2%	4.3	96.8%	69.5%
4 Year Price Total Return	108.6%	87.7%	4.4	98.1%	75.0%
5 Year Price Total Return	62.4%	71.8%	3.6	141.0%	64.4%

Technical Summary



Strong Buy

Moving Averages

Strong Buy

Technical Indicators

Strong Buy

The Moving Average Score is based on various moving averages, both simple and exponential, with ranges from 5 to 200.

The Technical Score is calculated based on key technical indicators, including RSI, Stochastic, MACD, Williams %R, CCI, ATR, Highs/Lows, Ultimate Oscillator, ROC, and Bull/Bear Power, among others.

Peer Benchmarks:

Market and Yield Metrics

Metric	ADM	OVQD	LGEN
Market Cap	£11.2B	$140.1B	£16.0B
Price % of 52 Week High	99.5%	99.7%	96.6%
Div Yield	5.59%	1.13%	7.46%
Beta	0.19	0.41	0.79
1 Year Return	16.3%	27.9%	27.3%

Growth Metrics

Metric	ADM	OVQD	LGEN
Revenue Growth	8.77%	8.19%	11.8%
Revenue CAGR (5y)	30.9%	10.3%	-9.39%
Net Income Growth	12.0%	33.6%	209.9%
Net Income CAGR (5y)	7.03%	23.9%	-18.1%
Revenue Forecast CAGR (5y)	3.87%	-1.02%	3.06%
Net Income Forecast CAGR (5y)	5.58%	-3.47%	26.0%

Financial Statement Metrics

Metric	ADM	OVQD	LGEN
Revenue	£5.0B	$61.0B	£11.0B
Gross Profit	£2.1B	$18.9B	£2.8B
Operating Income	£1.0B	$14.2B	£1.0B
Gross Profit Margin	41.5	31.0	25.5
Net Income to Common	£745.6M	$11.3B	£475.0M
ROE	53.0	16.2	16.3
ROI	26.9	12.4	1.13
ROA	8.75	4.41	0.11
Total Assets	£9.0B	$275.5B	£582.3B
Total Debt	£1.9B	$25.1B	£57.3B

Valuation Metrics

Metric	ADM	OVQD	LGEN
P/E Ratio (LTM)	15.0	12.4	33.6
PEG Ratio	1.29	0.34	0.14
Price / Book	7.75	1.90	7.00
Price / LTM Sales	2.23	2.30	1.45
Analyst Upside	-4.53%		-11.5%
Fair Value Upside	-3.49%	2,289.0%	-1,068.0%

Latest Insights

WarrenAI

Bull Case

- Admiral reported record group profit before tax of £957.9 million in 25, a 16% YoY increase, with customer numbers growing 7% to 11.8 million, demonstrating strong operational momentum.
- Admiral Money doubled its profit in 25, with gross loan balances growing 24% to £1.46 billion, highlighting the success of the company's diversification into consumer lending.
- The company targets doubling non-UK Motor profits by 28, supported by strong European Motor performance and new product launches, providing a credible long-term growth runway.
- The £80 million acquisition of Flock (completed June 26) adds a telemetry-based fleet insurance platform, positioning Admiral to disrupt the commercial fleet market by combining Flock's technology with Admiral's data and pricing strengths.
- Admiral has maintained dividend payments for 22 consecutive years with a current yield of 5.59%, and a robust solvency ratio of 193% post-dividend in 25 underpins continued shareholder returns. The shift to share buybacks for surplus capital adds further flexibility.
- Technical indicators rate the stock a Strong Buy, with the stock trading near its 52-week high of 36.82 GBP, and analyst EPS forecasts recover strongly to +9% in FY27 and +12% in FY28.

Bear Case

- RBC Capital Markets downgraded Admiral to sector perform in June 26, cutting its price target to 3,450p from 3,560p and forecasting an 8% decline in group pretax profit for 26 versus 25, against management's guidance for flatter profitability.
- RBC worsened its H1 26 combined ratio forecast to 85.6% from 83.6%, cut UK Motor pretax profit by 5%, reduced non-UK Motor pretax profit by 14%, and slashed UK Travel and Pet pretax profit by 25% to £12 million for 26.
- UK motor insurance premiums remain below their 2024 peak, with less profitable business written in 25 still earning through in H1 26, creating near-term margin pressure. Analyst EPS CAGR of 2.6% for 25–28 falls well short of management's 7.6% ambition.
- Short-term obligations exceed liquid assets, flagged as a financial health warning, and the stock trades at elevated Price/Book multiples (7.75x), presenting valuation risk if earnings disappoint.
- Geopolitical events, such as the Iran conflict, have had a tangible impact on travel claims, leading RBC to cut the UK Travel and Pet forecast by 25% for 26, illustrating Admiral's exposure to external shocks across diversified segments.

Additional Insights

- Analyst consensus shows a wide target range of 23.50 GBP (low) to 38.00 GBP (high), with a median of 33.84 GBP, reflecting significant divergence in views on Admiral's near-term earnings trajectory.
- EPS forecasts average 2.40 GBP for FY26 (flat YoY), rising to 2.61 GBP in FY27 and 2.65 GBP in FY28, with forward P/E compressing from 15.3x in FY26 to 13.84x in FY28, suggesting improving value if growth materialises.
- Admiral's next earnings release is scheduled for August 6, 2026, which will be a key catalyst for reassessing the FY26 profit trajectory and management's guidance versus RBC's more pessimistic forecasts.
- The company's GenAI Centre of Excellence and ongoing investment in telematics and advanced analytics represent structural competitive advantages, with telematics policies reportedly generating 6–8% higher margins.
- Admiral's FCF yield of 3% and a Cash Flow Rating of 5/10 suggest moderate free cash flow generation relative to valuation, warranting monitoring alongside the EV/FCF trend, which has risen from 1.95x in FY23 to 11.71x in FY25.

SWOT Analysis

Warren AI

Strengths

- Admiral holds a significant share (approximately 13–21%) of the UK private motor insurance market, with customer retention above 70%, providing predictable recurring revenues and scale-driven underwriting advantages.
- A return on equity of 53% in 25 and a profitability rating of 8/10 reflect Admiral's highly efficient, asset-light business model and disciplined underwriting approach, with a combined ratio around 91%.
- Advanced analytics, proprietary algorithms, and telematics programs enable superior risk selection and pricing precision, contributing to lower loss ratios and preserved margins.
- 22 consecutive years of dividend payments and a solvency ratio of 193% post-dividend in 25 demonstrate exceptional financial resilience and commitment to shareholder returns.

Weaknesses

- Despite diversification, approximately 75–82% of operating profit in FY24 remained tied to the highly competitive UK motor insurance market, creating significant concentration risk.
- Heavy reliance on price comparison websites (approximately 40% of new motor quotes in 24) gives aggregators bargaining power and intensifies price-driven competition, pressuring margins.
- Short-term obligations exceed liquid assets, and the stock trades at a high Price/Book multiple of 7.75x, both flagged as financial caution signals.
- UK motor premiums remain below their 2024 peak, and less profitable business written in 25 is expected to weigh on H1 26 results, with near-term EPS growth of just -2% forecast for FY26.

Opportunities

- Admiral targets doubling non-UK Motor profits by 28, with European Motor operations showing strong momentum in France and recovery in Italy in 25, offering meaningful geographic diversification.
- The acquisition of Flock and the establishment of a GenAI Centre of Excellence position Admiral to capture growth in commercial fleet insurance and improve operational efficiency through technology.
- Cross-selling across home, travel, pet insurance, and Admiral Money increases customer lifetime value; Admiral Money's 24% loan balance growth in 25 highlights the scalability of this strategy.
- A potential turn in the UK motor pricing cycle, with Admiral already implementing low single-digit price increases ahead of the wider market, could support margin expansion into 27.

Threats

- The UK insurance market is intensely competitive, with the Aviva–Direct Line combination creating a larger rival, and ongoing pricing pressure from competitors and price comparison websites compressing margins.
- Claims inflation driven by rising repair costs and labour expenses remains a persistent threat; if premium increases lag claims cost growth, profitability will be negatively impacted.
- Regulatory scrutiny from the FCA and potential changes to frameworks such as the Ogden rate could increase compliance costs or alter claims cost dynamics, affecting profitability.
- Geopolitical instability and macroeconomic uncertainty can dampen consumer spending, affect travel insurance claims, and weigh on broader investor sentiment towards European equities and Admiral specifically.

Top News, last 60 days:

[European Stocks Reverse Gains as U.S.-Iran Talks Postponed, Fed Hawkishness Weighs]

June 19, 2026

- European stocks reversed earlier gains on Friday, June 19, 2026, with the STOXX 600 down 0.2%, Germany's DAX down 0.25%, and France's CAC 40 down 0.4% by 1350 GMT, while Italy's FTSE MIB gained 0.5%.
- U.S. Vice President JD Vance canceled a planned trip to meet Iranian negotiators in Switzerland scheduled for later on Friday, June 19, 2026, to discuss implementing a 14point agreement struck earlier in the week, triggering an uptick in crude prices.
- European stocks were set for a second straight weekly gain of 0.6%, trailing Asia's over 1% rallies, following a peace deal that reopened the Strait of Hormuz and sent crude prices tumbling.
- The Federal Reserve's midweek hawkish turn led traders to price in an 80% chance of an October rate hike, with most policymakers eyeing a rate hike before yearend.
- London's FTSE 100 was set for a 0.9% weekly loss, dragged by BP and Shell on falling crude, and was down 0.1% on Friday, June 19, 2026.

Importance - 7/10 Neutral

[Admiral Group shares fall 4.2% on Friday following RBC downgrade to sector perform]

June 19, 2026

- Admiral Group shares fell 4.2% on Friday, 20260619, to trade at 3,222p following an RBC Capital Markets downgrade.
- RBC downgraded Admiral to sector perform from outperform and cut its 12month price target to 3,450p from 3,560p.
- RBC expects an 8% decline (8%) in group pretax profit for 2026 relative to 2025, contrasting with management's guidance for flatter profitability.
- RBC cited weaker policy count growth and a less profitable business mix as main concerns, along with UK motor insurance premiums remaining well below their 2024 peak.
- Admiral shares traded in an intraday range of 3,156p to 3,296p on Friday, 20260619, amid subdued broader market conditions.

Importance - 5/10 Negative

[Admiral Group shares fall 4% on Friday as RBC downgrades to sector perform, cuts price target on UK motor pricing headwinds]

June 19, 2026

- Admiral Group shares fell more than 4% on Friday, 20260619, after RBC Capital Markets downgraded the stock to sector perform from outperform and cut its 12month price target to 3,450 pence from 3,560 pence.
- RBC forecasts an 8% decline in group pretax profit for 2026 versus 2025, against management's outlook for flatter profitability, citing weaker policy count growth and less profitable business earning through in H1 2026.
- RBC worsened its H1 2026 combined ratio forecast to 85.6% from 83.6%, against a reported 84.2% in H2 2025, and cut fullyear 2026 estimated UK Motor pretax profit by 5%.
- RBC cut nonUK Motor pretax profit by 14% for 2026, with UK Travel and Pet pretax profit reduced 25% to £12 million and Italy pretax profit cut to £8 million from £13 million.
- Basic EPS estimates were cut 6%, 4%, and 2% for 2026, 2027, and 2028 respectively, giving a 20252028 CAGR of 2.6%, below management's ambition to exceed the 7.6% fiveyear historical CAGR.

Importance - 5/10 Negative

[Admiral Group Completes £80 Million Acquisition of Fleet Insurance Provider Flock]

June 01, 2026

- Admiral Group plc completed the acquisition of Flock, a digital commercial fleet insurance provider, on Monday, June 1, 2026, following regulatory approval, valuing Flock's equity at £80 million.
- Admiral first announced its intention to acquire Flock on Thursday, February 12, 2026.
- Flock's telemetrybased insurance platform and team will be integrated into Admiral's fleet insurance offering, with Flock CEO Ed Leon Klinger joining Admiral Pioneer's leadership team.
- Since announcing the acquisition, Admiral launched a haulage fleet insurance product that has seen strong early demand.

Importance - 5/10 Neutral

U.K. stocks close higher on Thursday, May 14, 2026, with Investing.com United Kingdom 100 up 0.60%

May 14, 2026

- The Investing.com United Kingdom 100 closed up 0.60% on Thursday, May 14, 2026, led by gains in Food Producers, Automobiles & Parts, and Tobacco sectors.
- Top performers included Legal & General Group PLC, which rose 6.16% to 263.80, Imperial Brands PLC up 3.99% to 2,866.00, and Admiral Group PLC up 3.85% to 3,294.00.
- Worst performers were 3I Group PLC, which fell 12.76% to a 52week low of 2,112.00, Tesco PLC down 2.49% to 450.70, and Coca Cola HBC AG down 2.16% to 4,172.00.
- Gold futures for June delivery fell 0.52% to $4,682.01 per troy ounce, while crude oil for June delivery declined 0.26% to $100.76 per barrel.

Importance - 4/10 Neutral